EXECUTIVE SUMMARY

I. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty-five (25) Barangays and classified as a First (1st) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala Cagayan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Operational and Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Alcala for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			
Total Assets	P574,936,973.17	P540,446,380.30	**P34,490,592.87**
Liabilities	45,471,718.87	39,302,987.01	**6,168,731.86**
Total Government Equity	529,465,254.30	501,143,393.29	**P28,321,861.01**
Results of Operations			
Total Revenues	P224,744,176.27	P201,133,940.76	**P23,610,235.51**
Total Expenses	201,010,574.32	197,033,423.92	**3,977,150.40**
Net Income	P 23,733,601.95	P 4,100,516.84	**P27,587,385.91**

IV. Operational Highlights

The LGU - Alcala is headed by the Municipal Mayor, Honorable Cristina I. Antonio, and Vice-Mayor, Honorable Joy C. Duruin and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	6
Permanent Employees	84
Casual Employees	4
Contract of Service	192

In addition, the Municipality of Alcala had accomplished 83.86 percent significant and developmental projects in Calendar Year 2024, with a total cost of P33,924,915.96.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2024 due to various accounts which are materially misstated by an aggregate amount of P11,687,987.94 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Alcala disclosed misstatements totaling P11,687,987.94 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Property, Plant and Equipment	P9,905,199.51	P0.00	P0.00	P9,905,199.51
Road Networks	1,690,857.33	0.00	0.00	1,690,857.33
Other Payables	0.00	91,931.10	0.00	91,931.10
Total	**P11,596,056.84**	**P91,931.10**	**P0.00**	**P11,687,987.94**

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Alcala are as follows:

1. Other Receivables totaling P16.736 million have remained unsettled or unliquidated for two (2) to 11 years, thus may result to loss of government fund.

We recommended that Management:

a. intensify efforts in collecting dues from delinquent clients of the Alcala Municipal Water System by continuously sending demand letters to ensure timely payment;

b. exert diligent efforts to locate all necessary supporting documents essential for issuing the demand letter to the concerned contractor;

c. reissue at least three (3) sequential demand letters to the officials of Alcala Tobacco Farmers Cooperative, compelling them to submit the Utilization or Liquidation Report for the P6,000,000.00 financial assistance granted to them; and

d. exhaust all available legal remedies to collect the balance of the unreturned properties and cash shortage of the accountable officers.

2. Seven (7) projects with a total cost of P6.861 million were not implemented by the LGU preventing the attainment of the desirable socio-economic developmental and environmental management outcomes.

We recommended that Management maximize the utilization of the 20% Development Fund by accelerating the implementation of pendin0g and reprogrammed projects, identifying the root causes delays and non-implementation, and developing practical, targeted solutions to ensure the effective execution of developmental initiatives.

3. Inter-agency Receivables amounting to P0.262 million remained dormant for more than ten (10) years. Moreover, the Municipality has not yet initiated the procedures for the proper disposition of these dormant accounts.

We recommended that Management:

a. exert best effort to locate pertinent documents to substantiate and assess the collectability of the dormant accounts; and

b. if collection is no longer feasible, undertake the appropriate actions for the proper disposition of these accounts, following the procedures outlined in COA Circular 2023-008 dated August 17, 2023

4. The Inter- Agency Payables accounts comprising Due to BIR, Due to GSIS, Due to Pag-IBIG and Due to PhilHealth include unidentified prior years' balances totaling to P0.863 million, affecting the reliability of the accounts in the financial statements.

We recommended that Management:

a. instruct the Municipal Accountant to exert all efforts to trace the details of the unidentified balances in the Inter-Agency Payables account and

immediately remit the same to the concerned agencies or prepare the appropriate adjusting entries, as the case maybe; and

b. ensure that all statutory deductions from employees' salaries are promptly and accurately remitted to the concerned government agencies within the prescribed periods to avoid the imposition of penalties, surcharges, or interests, and to ensure that employees' service records and benefits are not adversely affected.

5. The balance of Cash in Bank Local Currency Current Account amounting to P11.963 million maintained as Special Trust Fund for the Local Disaster Risk Reduction Management (LDRRM) Fund exceeded the actual unexpended balances of the Quick Respond Fund (QRF), Disaster Risk Reduction Management Fund–MOOE and Donations totaling by P0.174 million.

   We recommended that Management, through the Municipal Accountant, investigate the source of the excess cash back up, and revert the same to the proper books to ensure that the Trust Fund reflects only actual unutilized balances and that the surplus is made available for other social services identified by the local Sanggunian in pursuance with the pertinent laws, rules, and regulations.

VII. Summary of Total Suspensions, Disallowances and Charges

For the year 2024, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Implemented		13
Not Implemented	3	
Not Implemented and Reiterated in Part II of CY 2023 AAR	1	4
Total		17